

Evidence Review: Cinema Revenue Growth, Utilisation and Customer Behaviour

Purpose

This document summarises evidence relevant to commercial growth opportunities in cinema exhibition. It focuses on five areas: off-peak capacity utilisation, weekday attendance, food and beverage revenue, digital booking friction, and local audience development.

The objective is to show how cinema operators can improve revenue by making better use of existing assets, increasing per-visit spend, reducing customer friction, and developing stronger audience habits. The evidence below is drawn from industry data, academic research, customer behaviour studies, and examples from cinema and arts organisations.

Off-Peak Capacity Utilisation

Cinema exhibition is a high fixed-cost business. Once a session is scheduled, many operating costs are already committed, including venue operations, staffing, projection, utilities, and screen allocation. If a seat remains empty, it generates no revenue. If that same seat is filled, the additional ticket revenue can be commercially meaningful because the marginal cost of admitting one more customer is relatively low.

Australian cinema remains a large revenue market. Cinema Association Australasia reported that Australian cinemas recorded approximately 55.4 million admissions and AUD \$951 million in box office revenue in 2024 (Cinema Association Australasia, 2024). This implies an average ticket revenue of approximately AUD \$17.17 per admission.

Using this average, every additional 10,000 admissions could represent approximately AUD \$171,700 in ticket revenue before food and beverage spend is considered. This illustrates why even a modest improvement in utilisation can create meaningful commercial value.

Revenue-management research also supports the logic of using pricing to improve cinema capacity utilisation. Cinemas operate with fixed seat inventory and demand that varies by time, day, film popularity, seat preference, and customer segment. Research on cinema yield management suggests that pricing strategies can help improve both revenue and capacity utilisation, particularly for lower-demand sessions where seats are likely to remain unsold (Hettich and Homburg, 2025).

This supports the broader commercial principle that underutilised cinema inventory can be monetised through disciplined pricing and demand-management strategies, provided peak pricing and high-demand sessions are protected.

Weekday Attendance and Demand Activation

Cinema attendance is not evenly distributed across the week. Weekend sessions and major release periods generally attract stronger demand, while Monday to Thursday sessions are more likely to experience lower occupancy. This creates an opportunity for weekday demand activation.

Weekday pricing has a strong precedent in the Australian cinema market. HOYTS uses a “Cheap Tuesday” offer, while Palace Cinemas promotes a range of offers including discounted and value-based ticket options (HOYTS, n.d.; Palace Cinemas, n.d.). This indicates that exhibitors already recognise quieter periods as an opportunity to stimulate attendance.

Academic research on Australian cinema demand provides further support. The study Cheap Tuesdays and the Demand for Cinema found that discounted Tuesday pricing produced a market expansion effect rather than simply shifting existing customers from other days (de Roos and McKenzie, 2014). This means weekday discounting can attract additional attendance, not only redistribute attendance that would have occurred anyway.

This is important because cinema operators are often exposed to volatility in film release schedules. Box office performance can vary significantly depending on the availability and performance of major titles. Screen Australia notes that box office share and cinema performance can be heavily influenced by individual breakout films and release patterns (Screen Australia, n.d.). Building steadier weekday attendance can therefore help smooth demand across the week and reduce over-reliance on weekends or major release windows.

The evidence suggests that consistent weekday value offers can be a credible way to attract price-sensitive customers, build repeat habits, and improve utilisation during structurally quieter periods.

Food and Beverage Revenue

Food and beverage is a major commercial lever in cinema exhibition. While ticket revenue is often shared with film distributors, concession revenue is more directly retained by the cinema operator. This makes food and beverage particularly important to profitability.

Stanford Graduate School of Business notes that concessions can represent around 20% of theatre revenue but around 40% of theatre profit (Stanford Graduate School of Business, n.d.). This demonstrates that food and beverage contributes disproportionately to cinema profitability compared with its share of total revenue.

Small increases in average customer spend can therefore have a meaningful financial impact when applied across total annual attendance. For example, if a cinema venue receives 250,000 annual customer visits, an additional AUD \$1.50 per visit would generate AUD \$375,000 in additional annual food and beverage revenue. An additional AUD \$2.00 per visit would generate AUD \$500,000.

Food and beverage improvements do not always require major infrastructure investment. Product changes such as flavour additions, bundled snack options, upgraded dips, limited-time items, or locally relevant snack ranges can increase perceived value while using existing concession operations.

The evidence supports the view that even small improvements in concession attachment, basket size, or average transaction value can materially strengthen venue economics.

Digital Booking Friction and Online Conversion

Digital booking channels are important because they capture customer intent earlier, improve demand visibility, and generate useful customer data. However, online booking journeys can lose customers when the process is slow, confusing, or includes unexpected fees.

Baymard Institute's checkout research shows that extra costs are a major cause of online checkout abandonment. Baymard reports that 39% of users abandon checkout because of additional costs such as shipping, taxes, or fees (Baymard Institute, n.d.-a). The same research also identifies long or complicated checkout processes as a cause of abandonment (Baymard Institute, n.d.-b).

This is relevant to cinema booking because online booking fees can act as a final-stage barrier. A customer may choose a film, session, and seats, but abandon or delay the booking when fees appear near the end of the process. A complicated booking journey can also increase friction, particularly on mobile devices where speed and simplicity matter.

Cinema-specific evidence also supports the importance of transparent online pricing. The Australian Competition and Consumer Commission has previously taken action in relation to cinema online ticket pricing where compulsory booking fees were not clearly included in advertised ticket prices (ACCC, 2012). This shows that booking fees can affect consumer decision-making and price perception.

Competitor behaviour also shows that online booking fees remain part of the Australian cinema market. Event Cinemas states that a booking fee is charged per ticket online, while customers can purchase in-store without that online fee (Event Cinemas, n.d.). This creates an opportunity for cinema operators to differentiate by reducing friction and improving transparency.

Reducing booking friction can improve online conversion, increase confirmed ticket sales, and strengthen first-party customer data. A simpler app or booking journey can also support future personalisation, targeted offers, and better demand forecasting.

Local Audience Development and Regional Relevance

Audience development is not only about increasing attendance. It is about understanding who the audience is, why they attend, what barriers exist, and what programming or partnerships can build stronger participation over time.

The Independent Cinema Office states that cinemas are more likely to thrive when they remain committed to existing audiences while also reaching out to include new groups (Independent Cinema Office, n.d.). This supports the idea that cinemas need to understand their local catchments and create programming that reflects local interests, demographics, and community identity.

Australian audience development practice also supports this view. Screen NSW describes audience development as connecting audiences through culture, community, and collaboration (Screen NSW, n.d.). This highlights the role of partnerships, local events, and culturally relevant programming in strengthening audience engagement.

Regional arts and entertainment examples also show the value of a localised approach. The Geelong Arts Centre developed an audience strategy focused on strengthening relationships with current audiences while expanding engagement with growing communities in Geelong and wider Victoria. Its emphasis on being accessible, friendly, and hyper-local is relevant to regional entertainment venues more broadly (Culture Counts, n.d.).

For cinema operators, localised programming can include Australian films, culturally relevant films, classic re-screenings, school and university partnerships, council collaborations, community group events, festival tie-ins, and locally targeted promotions. These activities can help position a cinema as a community entertainment anchor rather than only a place to watch new releases.

The evidence suggests that local relevance and community partnerships can build stronger brand preference, repeat attendance, and long-term audience loyalty.

Overall Evidence Summary

The evidence reviewed across cinema economics, pricing research, concession profitability, digital checkout behaviour, and audience development supports several commercial principles:

- Empty cinema seats represent lost revenue opportunity because the venue capacity already exists.
- Targeted pricing can help activate demand during lower-demand sessions without requiring blanket discounting.
- Weekday value offers can attract additional attendance and build more regular cinema-going habits.
- Food and beverage is a high-margin lever where small increases in average spend can create meaningful revenue uplift.
- Booking fees and complex online journeys can reduce conversion and weaken digital adoption.
- Localised programming and partnerships can strengthen audience engagement and venue relevance.
- Growth initiatives should be tested through pilots, measured against clear performance indicators, and scaled only when results are proven.

The evidence does not suggest that any single initiative guarantees revenue growth on its own. Rather, it supports the view that a combination of disciplined pricing, improved customer experience, digital simplification, and local audience development can create a stronger commercial model for cinema operators.

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